

FEDERAL MARITIME COMMISSION

BALTIC AUTO SHIPPING, INC.

Complainant,

v.

MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV, EMPIRE
UNITED LINES CO., INC.

Respondents.

DOCKET NO. 14-16

Served: January 5, 2017

BY THE COMMISSION: Mario CORDERO, *Chairman*; Rebecca F. DYE, Michael A. KHOURI, William P. DOYLE, Daniel B. MAFFEI, *Commissioners*.

Memorandum Opinion and Order

I. Background

On November 28, 2014, Complainant, a licensed non-vessel-operating common carrier (NVOCC), filed a Complaint alleging that Michael Hitrinov a/k/a Michael Khitrinov (Hitrinov) and Empire United Lines Co. Inc., an NVOCC (collectively Respondents) committed various violations of the Shipping Act of 1984 (Shipping Act or Act). On January 9, 2015, Complainant filed an amended complaint (Complaint) alleging violations of 46 U.S.C. §§ 40501 (a),

41102(a), 41104(2)(a), 41104(4)(a) and 41104(8).

On September 15, 2015, the ALJ issued an Initial Decision on Respondent's Motion for Partial Summary Decision, finding that "every violation of the Shipping Act alleged in the Complaint occurred (if at all) and Baltic's claim for a reparation award accrued more than three years before Baltic filed its Complaint with the Commission." *Baltic Auto Shipping Inc., v. Hitrinov*, 33 S.R.R. 1238, 1244 (ALJ 2015). Accordingly, the ALJ found that Baltic's reparations claim was barred by the Shipping Act's three-year statute of limitations, no other relief was warranted, and dismissed the proceeding. *Id.* at 1245.¹ Complainant filed Exceptions and a supporting brief on January 15, 2016. Subsequently, Respondents filed their reply to the Complainant's Exceptions on March 3, 2016.

On April 27, 2016, however, Complainant informed the Commission via email correspondence that "all claims and counterclaims in this matter have been resolved to the mutual satisfaction of the parties." Furthermore, Complainant advised that it would be withdrawing its appeal/exceptions to the ALJ's Initial Decision and requested that the Commission stay all activity pending a settlement agreement between the parties, to be delivered within 60 days of the date of the letter. A proposed notice withdrawing all claims and counterclaims under separate cover was stated to be forthcoming.

On May 27, 2016, Complainant advised the Commission's Office of the Secretary (OS) that Complainant had filed a Settlement Agreement in an unrelated matter before the U.S. District Court for the District of New Jersey, was awaiting a countersigned copy by the Respondents, and upon receipt would file a formal notice of

¹ The ALJ also determined that, although a 2011 Settlement Agreement and Mutual Release in the U.S. District Court for the District of New Jersey did "not prevent the Commission from deciding whether Empire violated the Act, the release in the 2011 Settlement does prevent Baltic from receiving a reparations award for any and actual injuries that it now claims it suffered as a result of the violations." *Baltic*, 33 S.R.R. at 1270.

withdrawal in this case still currently before the Commission. On August 3, 2016, after receiving no notice of withdrawal or settlement agreement between the parties, the Commission ordered the parties to file a joint status report.

On August 15, 2016, Complainant filed a Motion to Withdraw Appeal and Discontinue Action (“Motion to Withdraw”) and also filed a status report. Complainant argued that the Presiding Officer, per Rule 72 of the Commission’s Rules of Practice and Procedure, should dismiss the action. Motion to Withdraw at 3-4. Also on August 15, 2016, Respondents submitted a separate status report via email to the OS in which they stated they would not agree to the joint stipulation to withdraw the appeal. Respondents stated that Complainant had not explained why a joint stipulation was necessary. Also, they could not agree with the language in the stipulation that states: “this matter shall be discontinued with prejudice, and without costs, attorneys’ fees or disbursements to either party as against each other.”

On August 30, 2016, Respondents submitted a Memorandum in Support of Complainant’s Motion to Withdraw its Exceptions to the Initial Decision and In Opposition to Complainant’s Motion to Discontinue the Instant Matter (“Opposition to Discontinue”). Respondents consented to Complainant’s withdrawal of exceptions, but argued that per Commission Rule 72 (46 C.F.R. § 502.72), “only upon a stipulation of the parties” could the matter be discontinued. Opposition to Discontinuance at 2. As they would not consent to the withdrawal, Respondents argued that the initial decision should become the decision of the Commission. *Id.* Respondents further argued that the award of attorney fees is mandated at this stage of the proceeding. *Id.* at 3.

On September 2, 2016, Complainant submitted Complainant’s Reply on Their [Respondents’] Motion to Withdraw Appeal and Discontinue Action (“Reply on Respondents’ Motion”) and a Motion for Confidential Treatment. In the Reply on Respondents’ Motion, Complainant argued that by agreeing to the

withdrawal of the appeal on the record in the New Jersey court action, and by drafting an agreement that stated that attorney fees would be released, Respondent waived all claims for attorney fees. Reply on Respondents' Motion at 3-4. In the Motion for Confidential Treatment, Complainant argued, pursuant to Commission Rule 201, that an Order should be granted affording confidential treatment for its Reply on Respondent's Motion, and the attached appendix. Motion for Confidential Treatment at 1.

On September 16, 2016, Respondents submitted a Response to Complainant's Seriatim Motions of September 2, 2016, wherein Respondents argued that Complainant is seeking a remedy for breach of contract which is not within the Commission's jurisdiction. Respondents also argue that the Complainant's motion requesting confidentiality failed to satisfy the requirements of 46 C.F.R. § 502.5(b). See Response to Complainant's Seriatim Motions of September 2, 2016, at 3-4. Respondents also argued that Complainant's failure to provide Respondents with redacted material violates the Respondents' due process rights and is an ex parte communication. *Id.* at 5-6.

On September 20, 2016, Complainant filed a Response to Respondents' Unauthorized Sur-Reply. Complainant objected to Respondents filing its sur-reply without leave of the Commission. Response to Respondents' Unauthorized Sur-Reply at 1-2. Furthermore, Complainant argued that as Respondent is in possession of an un-redacted version of the settlement agreement, Respondent's attorney's argument that he should be served a copy is fraudulent. *Id.* at 3. On October 7, 2016, Complainant submitted a letter to the ALJ alleging fraud upon the Commission by the Respondents. Finally, on October 14, 2016, Respondents filed a letter response to Complainant's letter of October 7, 2016.

II. Discussion

The main issue at hand is whether the Commission should deny or grant, in full or part, the Complainant's Motion to Withdraw Appeal and Discontinue Action.² In order to adequately address the motion, however, several other matters need to be determined or clarified first:³ (1) The appropriateness of granting Complainant's Motion for Confidential Treatment; (2) if granted, should that confidentiality preclude Respondents from receiving un-redacted versions of Complainant's Reply and the Settlement Agreement and Transcript attached and relied on by Complainant; (3) is voluntary discontinuance, or withdrawal by joint stipulation, as Respondents have argued, the only grounds upon which an action can be discontinued at this stage in the proceeding; and (4) as Respondents, argue, would attorney fees now be mandated at this stage of the proceedings if Complainant's exceptions were withdrawn and the ALJ's decision dismissing Complainant's claims became final.

The Commission finds that: (a) Complainant's Motion for Confidentiality should be granted; except as regards to Respondents, who should be provided the un-redacted reply, Settlement Agreement, and Transcript; (b) voluntary discontinuance or joint stipulation are not the only grounds upon which the case can be dismissed at this stage in the proceedings; and (c) attorney fees are not mandated, but are at the discretion of the Commission. The Commission will address the issue of whether to deny the Motion to

² Also, under 46 C.F.R. § 502.230(e) the Commission may remand the proceeding to the presiding officer for the taking of additional evidence or determining points of law.

³ Respondents have also stated that a breach of a settlement agreement in New Jersey Federal Court does not provide a basis for a claim under the Shipping Act and, therefore, Complainant's "claim" for such breach is not within the Commission's authority. However, Complainant is not arguing that the breach of the agreement in New Jersey Federal Court is a breach of the Shipping Act. Complainant is arguing that the agreement in New Jersey Federal Court is evidence, though indirect in nature, of fraud upon the Commission by Respondents, and evidence of a prior agreement by the parties to dismiss the action in its entirety including attorney fees. See Response to Complainant's Seriatim Motions of September 2, 2016 at 3-4.

Withdraw Appeal and Discontinue Action, or grant in full or in part, after the Respondents have had an opportunity to view the materials previously not provided by Complainant.

A. Confidentiality

Complainant's Motion for Confidential Treatment requests an order under Commission Rule 201 affording confidential treatment with respect to its Reply On Their Motion To Withdraw Appeal and Discontinue Action and the attached appendix. Complainant argues that because Respondents drafted the settlement agreement containing a clause prohibiting disclosure to the public, which was subsequently signed by Complainant (though apparently not by Respondents) and filed with Federal Court in New Jersey,⁴ such agreement, the transcript of the District Court proceedings pertaining to the settlement, and portions of its reply should be kept confidential by the Commission and not disclosed to the public or Respondent. Motion for Confidential Treatment at 1. *See also* Reply on Respondents' Motion at 4.

Pursuant to Commission rules, parties may request confidential treatment for materials submitted to the Commission. 46 C.F.R. § 502.5. The "motion must identify the specific information in a document for which protection is sought and show good cause by demonstrating that the information is a trade secret or other confidential research, development, or commercial information pursuant to §502.201(j)(1)(vii)." § 502.5(b).

With respect to settlement agreements, "[i]f parties wish to keep the terms of their settlement agreements confidential, the

⁴ Though Complainant argues that the Settlement Agreement was filed with the court, the correspondence on file with the court does not show or indicate that any agreement was filed, but rather shows that Complainant also failed to provide a signed copy of the settlement agreement to Respondent in that court action as well. *See Empire United Lines Co., Inc. et al. v. Baltic Auto Shipping, Inc. et al.* U.S.D.C. – D.N.J., 15 Civ. 355 (CCC) (MF), Docs. 71, 73, 74, 75.

Commission, as well as the courts, have honored such requests.” See *AI Kogan v. World Express Shipping, Transportation and Forwarding Services, Inc.*, 29 S.R.R. 68 (ALJ Dec. 14, 2000). The Commission has generally acted favorably to such a request for confidential treatment. In *KSB Shipping & Logistics LLC v. Direct Container Line, Initial Decision Approving Confidential Settlement and Dismissing Proceeding with Prejudice*, Docket No. 16-03 (ALJ Aug. 24, 2016), the ALJ stated “given the parties’ request for confidentiality, commercially sensitive terms included in the Settlement Agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request that the settlement terms be held confidential is granted.” *Id.* at 4. Also, federal courts regularly support the confidentiality of settlement agreements. See *Streak Products, Inc. and SYX Distribution, Inc. v. UTi United States, Inc.* 33 S.R.R. 641, 644-645 (ALJ 2014) (stating “federal courts frequently maintain the confidentiality of settlement agreements, although some have questioned whether the public interest is undermined in certain circumstances.”)

Although it is unclear whether the Settlement Agreement filed by Complainant represents the settlement agreed to by the parties, given that it is not signed by Respondents, it at least appears to reflect Complainant’s understanding of the settlement terms. Accordingly, in light of the clause requesting confidentiality, the terms of the possible and proposed settlement, which could be construed as commercially sensitive, and the history of support for granting confidentiality clauses, the Commission grants the request for the confidential treatment of the Settlement Agreement, court transcript, and the relevant portions of the Complainant’s Reply with respect to disclosure to the public.

In this case, however, unlike the majority of cases before the Commission requesting confidentiality for a settlement agreement, the Complainant is also arguing that the confidentiality of the agreement prevents Complainant from providing the Respondents these documents. In response, Respondents argue that by not

allowing them to see these documents, Complainant has made an ex parte communication and due process violation. See Response to Complainant's Seriatim Motions of Sept. 2, 2016 at 5-6.

Commission Rule 11 states:

No person who is a party to or an agent of a party to any proceeding as defined in 46 C.F.R. § 502.61 (c) or who directly participates in any such proceeding and no interested person outside the Commission shall make or knowingly cause to be made to any Commission member, administrative law judge, or Commission employee who is or may reasonably be expected to be involved in the decisional process of any such proceeding, an ex parte communication relevant to the merits of the proceeding.

46 C.F.R. § 502.11(a).

As an ex parte communication is defined at 46 C.F.R. § 502.11(c) as "an oral or written communication not on the public record with respect to which reasonable prior notice to all parties is not given . . .," Complainants made an ex parte communication by submitting documents to the Commission, but not the Respondents. Commission Rule 11, therefore, supports Respondents' contention, and Respondents should be given access to the Settlement Agreement if the Complainant wishes to proceed with its Motion to Withdraw Appeal and Discontinue Action. Respondents cannot be asked to respond to a motion, the evidence upon which it is based they have not been able to view.

Moreover, Complainant's argument that the Respondents, a party to the Settlement Agreement (and, per Complainant, drafters of the agreement⁵), should not be allowed to see their own agreement lacks any reasonable basis. Complainant fails to justify why,

⁵ See Response to Respondents' Unauthorized Sur-Reply at 4.

pursuant to 46 C.F.R § 502.5, its reply and the documents therein should not be disclosed to Respondents, given Complainant's allegations that they represent settlement discussions and related agreement *with the Respondents*. In particular, Complainant has failed to show that the relevant documents contain a "trade secret or other confidential research, development, or commercial information" that should not be disclosed to Respondents. *Id.* (citing 46 C.F.R. § 502.201(j)(1)(vii)). Complainant's reliance on a confidentiality clause in the Settlement Agreement prohibiting disclosure *to the public* does not justify Complainant's failure to provide it to Respondents, the alleged counterparties to the agreement.

Accordingly, the Commission denies Complainant's motion for confidential treatment and advises Complainant that its reply will be stricken from the record unless Respondents are served with copies of the Settlement Agreement, Transcript and un-redacted reply.

B. Authority to Discontinue

Respondents' filings indicate that they have misinterpreted two important legal principles. First, in Respondent's August 30, 2016, response they argue that "only upon stipulation" can the current Complaint be withdrawn at this point in the proceedings. Opposition to Discontinue at 2. While pursuant to 46 C.F.R. § 502.72(a)(2), stipulation of the parties is one method by which the proceeding could be dismissed, Respondents are incorrect in stating that this is the only available method at this point. An action may also be dismissed at the order of the presiding officer. "[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination" See 46 C.F.R. § 502.72(a)(3).

At this time, the circumstances and terms of the District Court settlement are unclear. This issue may be clarified by allowing the Respondents to see the un-redacted reply, Transcript and Settlement Agreement that Complainant has submitted as evidence of bad faith on the part of Respondents. Once Respondents are provided a copy of these documents, the parties may be able to reach a resolution or otherwise clarify the terms of the settlement.

C. Attorney Fees

Second, Respondents have also stated that the award of attorney fees is mandated at this point in the proceedings. Opposition to Discontinue at 3. Respondents are incorrect. The award of attorney fees is discretionary by the Commission. In any complaint proceeding brought under the Shipping Act, the Commission *may*, upon petition, award the prevailing party reasonable attorney fees. 46 C.F.R. § 502.254(a). The regulation reflects the recently amended statutory provision, which states: “Attorney Fees. – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.” 46 U.S.C. § 41305(e). Moreover, on March 1, 2016, when the Commission issued the Final Rule amending § 502.254, the Commission also provided guidance on the application of the new statutory provision. 81 Fed. Reg. 10,508. In that Final Rule, the Commission noted that “primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.” 81 Fed. Reg. at 10,509; *see also Edaf Antillas, Inc., v. Crowley Caribbean Logistics, Order Granting Petition for Attorney Fees*, No. 14-04, slip op. at 9, (FMC Sept. 14, 2016) citing *Fogerty v. Fantasy, Inc.*, 510 U.S. 517, 534 n.19 (1994)) (listing factors Commission considers in determining whether party is entitled to attorney fees). Respondents are incorrect that attorney fees are now mandated.

III. Conclusion

The Commission rejects Complainant's argument that Respondents are not entitled to see the un-redacted reply, Settlement Agreement and Transcript submitted by Complainant. The Commission orders Complainant to provide a copy to Respondents of the un-redacted reply and materials submitted by Complainant as Appendix "A" and "B" in Complainant's Reply on their Motion to Withdraw Appeal and Discontinue Action within 30 days. If Respondents are not provided an opportunity to review the un-redacted reply and appendices within that time period, Complainant's Reply will be stricken. The Commission will postpone a decision on Complainant's Motion to Withdraw Appeal and Discontinue Action until this issue is resolved.

THEREFORE, IT IS ORDERED, That by February 6, 2017, the Complainant provide a copy to Respondents of the un-redacted reply and materials submitted by Complainant as Appendix "A" and "B" in Complainant's Reply on their Motion to Withdraw Appeal and Discontinue Action, and that the parties file a joint status report stating that those documents have been provided to Respondents.

By the Commission.

Rachel E. Dickon
Assistant Secretary